

- **Pay on time.** Modern technology gives everyone from lenders to landlords and even potential employers the ability to look at your credit history and get a sense of how responsible you are when it comes to making monthly payments. People who appear to have trouble managing their debt get charged higher interest rates on everything from credit cards to car loans to home loans. They are also more likely to get turned down as a potential renter or even as an employee.)

You can't change your past, but you can make a huge difference in your future by paying your bills punctually now. One late \$50 credit card or phone bill payment can literally cost you tens of thousands of dollars later by driving up the interest rates you'll get on a mortgage. The number one factor that goes into your credit score is your record of paying bills on time. Read that sentence again and commit it to memory. It's key.

- **Talk to your lender.** E-mail may be easy, but picking up the phone is a great way to remind people that you're a human being, not just an account number. If you have a debt-related issue (or even if you're just trying to get a better deal), call your lender and explain your situation. A lender might be willing to change the terms of the loan so that you can and will keep making your payments. If you're trying to negotiate for a lower rate, speaking directly with a supervisor is almost always the best route.

↓ CREDIT CARDS

Many of us have become addicted to credit cards, and banks have been more than willing to feed this habit by dangling cards in front of everyone old enough to sign his or her name. Today, the card companies are tightening their standards and limiting credit lines as well as hiking interest rates and fees.